

sanctions against Defendant Terrrice Warren, and imposing a monetary sanction in the amount of \$2,450 against defendant, for failure to obey the order of this court dated October 29, 2025, compelling responses to plaintiff's special interrogatories, requests for admissions, and demand for production of documents, is unopposed. As such, the Motion is granted.

The Court will execute the proposed order lodged by Plaintiff's counsel on December 18, 2025. No appearance is required at the hearing on May 6, 2026.

16. 9:00 AM CASE NUMBER: C24-03036
CASE NAME: ARLENE ROSITA MUNOZ, AN INDIVIDUAL AND ON BEHALF OF ALL OTHERS SIMILARLY SITUATE VS. SHIV RESORT, INC., A CALIFORNIA CORPORATION
***MOTION/PETITION TO COMPEL ARBITRATION**
FILED BY: SHIV RESORT, INC., A CALIFORNIA CORPORATION
TENTATIVE RULING:

Before the Court is a motion to compel arbitration filed by defendant Shiv Resort, Inc. doing business as Bridges Golf Club. For the reasons set forth, the motion is **denied**.

Background

Plaintiff Arlene Munoz was employed by defendant Shiv Resort doing business as Bridges Golf Club ("Bridges" for convenience) from September 2022 to January 2024. She was a non-exempt, hourly employee. She filed her complaint initiating this action on November 12, 2024 and filed the operative first amended complaint ("FAC") on March 27, 2025. The FAC alleges a number of causes of action for violation of the Labor Code and other wage and hour laws. Plaintiff asserts claims individually, as a putative class representative, and as an "aggrieved employee" under the Private Attorney General Act, Labor Code section 2698 *et seq.* ("PAGA").

Plaintiff first served Bridges by serving Bridges with the FAC by a notice and acknowledgement of receipt dated April 9, 2025, which shows counsel for Bridges signed on April 29, 2025. Bridges filed an answer to the FAC on May 29, 2025, asserting as its fifteenth affirmative defense the existence of an arbitration agreement that required Plaintiff's claims to be resolved by binding arbitration. (Khakh Decl. Exh. A.) Bridges filed a CMC statement on June 9, 2025 which asserted arbitration as an applicable method of alternative dispute resolution and stated Bridges' intention to file a motion to compel arbitration. (6/9/2025 CMC Stmt. pp. 3, 4.)

The Court held another case management conference on September 19, 2025. (Khakh Decl. ¶ 6.) A stay of discovery was in effect, and the minute order from that CMC conference provides that if the motion to compel arbitration was not filed within seven days of the September 19, 2025 CMC, the stay of discovery would be lifted "WITH PROVISIONS," stating "THE PROVISION IS WHEN THE MOTION GETS FILED TO COMPEL ARBITRATION THE DISCOVERY WILL BE STAYED REGARDING THE ISSUES RAISED." (Khakh Decl. Exh. B.) When the discovery stay was lifted, Plaintiff propounded a series of written discovery requests to Bridges, to which Bridges responded before the discovery stay was reimposed when Bridges filed its motion to compel arbitration. (Khakh Decl. ¶¶ 7, 8.)

Bridges filed its motion to compel arbitration on November 21, 2025. The motion was originally set for May 28, 2026 in Department 39. On January 2, 2026, Bridges substituted new counsel, and in March 2026, this case was reassigned to Department 16. The motion to compel arbitration was reset to be heard on May 6, 2026 in Department 16.

Bridges moves to compel arbitration of Plaintiff's individual PAGA claims, to dismiss Plaintiff's class claims, and to stay the action, including Plaintiff's non-individual PAGA claims, pending completion of the arbitration. The motion is based on the Dispute Resolution Agreement attached as Exhibit A to the Hood Declaration in support of the motion (the "Arbitration Agreement"). Plaintiff opposes the motion.

Procedure and Burden of Proof on Motion to Compel Arbitration

Bridges' motion cites the Federal Arbitration Act, 9 U.S.C. section 1, *et seq.* ("FAA") as well as the California Arbitration Act, Code of Civil Procedure section 1280 *et seq.* ("CAA") as the legal authority on which the motion is brought. Whether the arbitration agreement is governed by the FAA or the CAA, the threshold issue of whether a valid and enforceable agreement to arbitrate exists is determined under California law, including whether defenses to enforcement of a contract, such as unconscionability, bar the enforcement of the arbitration agreement, as discussed in more detail below. (*Rosenthal v. Great Western Fin. Securities Corp.* (1996) 14 Cal.4th 394, 413; *Quach v. California Commerce Club, Inc.* (2024) 16 Cal.5th 562, 582.)

The party moving to compel arbitration "bears the burden of proving the existence of a valid arbitration agreement by the preponderance of the evidence, and a party opposing the petition bears the burden of proving by a preponderance of the evidence any fact necessary to its defense. [Citation.]" (*Engalla v. Permanente Medical Group, Inc.* (1997) 15 Cal.4th 951, 972.) (*See also Rosenthal, supra*, 14 Cal.4th at 413.) The Court as the trier of fact weighs the evidence in reaching a final determination regarding the validity and enforceability of the arbitration agreement. (*Engalla, supra*, 15 Cal.4th at 972.) Once the existence of an arbitration agreement is established, the burden is on the party opposing arbitration to prove a defense to its enforcement. (*Rosenthal, supra*, 14 Cal.4th at 413; *Alvarez v. Altamed Health Services Corp., supra*, 60 Cal.App.5th at 580.) If a written arbitration agreement exists, it will be enforced unless there are grounds for its revocation. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 125; Code Civ. Proc. § 1281.)

Preliminary Issues

A. Waiver of the Right to Compel Arbitration

Plaintiff argues that Bridges waived the right to compel arbitration. In *Quach, supra*, 16 Cal.5th 562, the Court held that "regardless of whether the procedural requirements of the FAA or the CAA apply in these proceedings, our determination of whether [defendant] has lost its right to compel arbitration as a result of its litigation-related conduct is governed by generally applicable state law contract principles." (*Id.*) The Court set forth the standards for demonstrating waiver: "To establish waiver under generally applicable contract law, the party opposing enforcement of a contractual agreement must prove by clear and convincing evidence that the waiving party knew of the contractual right and intentionally relinquished or abandoned it." (*Id.* at 572, 584 [emphasis added].) The "clear and convincing evidence" standard of proof requires a showing that it is "highly probable" that the fact is true. (*Id.* at 584.)

Proof of waiver can be satisfied by evidence of words of the defendant expressing "an intent to relinquish the right" to arbitrate or with evidence that the defendant's conduct was "so inconsistent with an intent to enforce the contractual right as to lead a reasonable fact finder to conclude the party had abandoned" the right to compel arbitration. (*Id.* [emphasis added].) The exclusive focus of the determination of waiver is the waiving party's conduct; "neither the effect of that conduct on the

party seeking to avoid enforcement of the contractual right nor that party's subjective evaluation of the waiving party's intent is relevant. [Citation omitted.]" (*Id.* at 585.)

Plaintiff argues that the defendant's delay in filing the motion to compel arbitration has resulted in the motion being heard "two years after the initial complaint was filed." (Opp. p. 5, ll. 3-4.) The motion is being heard one year and six months after the initial complaint was filed. Plaintiff waited for five months after filing the action before it served Bridges. That delay cannot be attributed to any conduct of Bridges.

Arguably, there was a six-month delay between Bridges first being served and the date the motion was filed. The fact that the Court's congested calendars did not allow the motion to be heard for six months after filing is also not a delay that the Court can attribute to Bridges' conduct, nor does the Court find that Bridges' conduct in this regard is clear and convincing evidence that Bridges abandoned the right to arbitrate.

Among other facts in *Quach* that supported a finding of waiver in that case, the defendant answered the complaint, asserting as an affirmative defense that the plaintiff should be compelled to arbitrate his claims. (*Quach, supra*, 16 Cal.5th at 570.) The defendant failed to check the box on its CMC statement that it was willing to participate in binding arbitration. (*Id.*) The defendant initiated (not just responded to) formal discovery, serving form interrogatories, special interrogatories, requests for admissions, and a request for production of documents. (*Id.*) The defendant propounded a second round of discovery and took the plaintiff's deposition. (*Id.*) Only after the case had been pending for 13 months, after the defendant initiated and pursued these multiple rounds of discovery, and after a trial date was set with the defendant's apparent acquiescence did the defendant file a motion to compel arbitration. (*Id.* at 571.) The Court found that these facts demonstrated by clear and convincing evidence that the defendant was aware of its right to require arbitration of the plaintiff's claims, but its words and conduct evidenced an intentional abandonment of its right to compel plaintiff to arbitration. (*Id.* at 586-587.)

Plaintiff also relies on *Davis v. Shiekh Shoes, LLC* (2022) 84 Cal.App.5th 956 to argue waiver here. Applying the standard of the federal decisions as the FAA applied in that case, the Court evaluated the defendant's conduct and agreed with the trial court's determination that the defendant acted in a manner that was inconsistent with an intent to arbitrate. (*Davis, supra*, 84 Cal.App.5th at 967-972.) The summary of facts shows that the defendant corporation delayed 17 months from the date it was served with the complaint before it filed the motion to compel arbitration. While it was represented by counsel, its counsel demanded that the Court set a trial date and agreed to a discovery schedule. (*Id.* at 969-970.) The defendant's original counsel withdrew, and the corporation did not retain new counsel for almost seven months. The defendant did not raise arbitration at various court appearances or in responding to the plaintiff's discovery and continued to remain silent on arbitration when the plaintiff requested continuances of the trial date. (*Id.* at 970.)

The facts of this case are demonstrably different from those in *Quach* and *Davis*. In the five-month period between the date it filed its answer and the date it filed this motion, Bridges repeatedly stated that Plaintiff was bound to arbitrate her claims in its answer filed in May 2025, when it made its first CMC appearance in June 2025, when it appeared again in September 2025, and when it responded to Plaintiff's written discovery. (Rossi Decl. ¶ 4.) Bridges did not propound any discovery and took no

depositions. Bridges did not conceal the existence of the arbitration agreement and its intent to move to compel arbitration of Plaintiff's claims, unlike the defendant in *Davis*. It consistently in its answer and at the CMCs. The delay between when Bridges was served with the FAC and when it filed the motion to compel was seven months, and six months from the date it answered and asserted arbitration as an affirmative defense. There has been no trial date set. The Court cannot conclude that the delay here is clear and convincing evidence of conduct "so inconsistent" with an intention to arbitrate the claims as to demonstrate Bridges abandoned arbitration. (*Quach, supra*, 16 Cal.5th at 584.) Bridges did not waive its right to compel arbitration.

B. Delegation Clause

In the introduction to the Argument in the Bridges reply, Bridges quotes a delegation clause from the Arbitration Agreement and asserts Plaintiff's challenges to the Arbitration Agreement should be decided by an arbitrator. Raising the delegation clause for the first time in a reply violates the law and motion rules and is improper under case authority. (Cal. R. Ct. 3.1112(d)(3) [motion must state "the basis for the motion and the relief sought"]; *Fisher v. San Pedro Peninsula Hospital* (1989) 214 Cal.App.3d 590, 604 [addressing new points in reply brief on appeal, stating "The rule is that points raised in a reply brief for the first time will not be considered unless good cause is shown for failure to present them before."].)

Defendant's moving papers ask the Court to enforce the Arbitration Agreement, argue why the Arbitration Agreement covers the claims asserted in Plaintiff's FAC, and argue why the Arbitration Agreement should be enforced by the Court under the standards of California case law, including based on defendant's contention that the Arbitration Agreement meets the standards for enforcement under *Armendariz* and is therefore not unconscionable. The moving papers make no reference to the delegation clause. Other than quoting the delegation clause and making a single statement that the arbitrator should decide Plaintiff's challenges, Bridges cites no legal authorities regarding the standards for enforcing a delegation clause of their application to the clause in this case. Bridges' arguments are all directed to the Court for interpretation and enforcement of the Arbitration Agreement.

The application of a delegation clause is not jurisdictional and may be waived or forfeited. "[E]ven if we assume that the parties did agree to delegate the section 1281.98 issue to the arbitrator, a contractual right to an arbitral resolution of that issue does not of itself divest the court of jurisdiction: the parties may abandon—or forfeit—the contractual right and submit the matter to the court. [Citations omitted; emphasis added.]" (*Williams v. West Coast Hospitals, Inc.* (2022) 86 Cal. App. 5th 1054, 1071, overruled on other grounds in *Hohenshelt v. Superior Court* (2025) 18 Cal.5th 310, 349.) The Court in *Williams* found a waiver of the delegation clause in the trial court and that the defendant had not preserved the issue on appeal: "In petitioning the trial court to compel arbitration, West Coast did not ask the trial court to defer the question of arbitrability under the agreement to the arbitrator—it called upon the trial court to decide the question of arbitrability and received a favorable result as to Ann and John. Indeed, West Coast states in its opening brief that the trial court found that its arbitration agreement was 'valid and enforceable.' In opposing plaintiffs' underlying motion, West Coast made no reference to any delegation clause. West Coast accordingly forfeited the issue by failing to raise it in the trial court. [Citations omitted.]" (*Id.* at 1072.)

The Court finds Bridges has forfeited its right to have the arbitrator decide arbitrability, and the Court therefore addresses the enforceability of the Arbitration Agreement.

Analysis

A. Existence of An Arbitration Agreement Signed by Plaintiff

Under Civil Code section 1633.5, whether the parties have agreed to conduct a transaction by electronic means is "determined from the context and surrounding circumstances, including the parties' conduct." (Civ. Code § 1633.5(b).) To authenticate an electronic signature, the party must present evidence demonstrating the electronic signature is attributable to the person which is shown by demonstrating "it was the act of the person. The act of the person may be shown in any manner, including a showing of the efficacy of any security procedure applied to determine the person to which the electronic record or electronic signature was attributable." (Civ. Code, § 1633.9(a) [emphasis added]; *Ruiz v. Moss Bros. Auto Group, Inc.* (2014) 232 Cal.App.4th 836, 843.) Authenticity may be established by circumstantial evidence. (*Ruiz, supra*, 232 Cal.App.4th at 843.)

Bridges' motion is supported by the Hood Declaration which describes the process by which a prospective employee applies for employment, and once hired, the methods by which the employee must create an account using a unique name and a password the employee herself must create. (Hood Decl. ¶¶ 5, 8, 9.) She describes the operation of the TalentReef onboarding electronic portal by which employees who have been hired are supplied with documents they must sign electronically to complete their initial employee paperwork, including the Arbitration Agreement. (Hood Decl. ¶¶ 5-10.) Hood confirms that employees were required to sign the Arbitration Agreement as a condition of their employment with the onboarding document package. (Hood Decl. ¶¶ 10-12.) Bridges' motion is also supported by the declaration of counsel explaining that the "Company" identified in the Arbitration Agreement as "The Bridges" is the fictitious business name of Shiv Resort, Inc., which she points out is acknowledged by Plaintiff who sued Shiv Resort, Inc. dba Bridges Golf Club as Plaintiff's employer. There appears to be no dispute between the parties that Bridges is the company she worked for, as the "Terms of Employment" agreement attached to the Khakh declaration which Plaintiff acknowledges are part of Plaintiff's employment records was also entered into with the company "The Bridges." (Khakh Decl. ¶ 10, Exh. D.)

While the opposition refers to the Arbitration Agreement as the "purported Arbitration Agreement" and while Munoz declares she does not remember being asked to sign the Arbitration Agreement (Munoz Decl. ¶ 9), she does not deny executing the Arbitration Agreement or that the electronic signature appearing on the Arbitration Agreement dated September 9, 2022 is her genuine electronic signature. The opposition makes no argument that the Arbitration Agreement is not authentic and that Plaintiff did not sign it electronically. Notably, the Khakh Declaration in opposition to the motion attaches another document bearing Plaintiff's electronic signature with the same date and a time stamp close in time, but a few minutes later, than the time stamp on the Arbitration Agreement. (*Compare* Khakh Decl. Exh. D "Terms of Employment" to Hood Decl. Exh. A.)

The Court finds that Bridges has demonstrated by a preponderance of the evidence that there is an arbitration agreement between Bridges and Plaintiff and that the Arbitration Agreement was signed by Plaintiff.

B. Unconscionability Defense to Enforcement

The burden of proof of unconscionability is on Plaintiff as the party resisting arbitration. (*Rosenthal, supra*, 14 Cal.4th at 413; *Pinnacle Museum Tower Assn. v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 236.) Both procedural and substantive unconscionability must be proven to render a contract unenforceable, based on a sliding scale such that the greater the procedural unconscionability, the lesser the required showing of substantive unconscionability, and vice versa. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal. 4th 83, 114.) (*See also OTO, supra*, 8 Cal.5th at 125.) "Unconscionability is judged 'at the time [the contract is] made.' [Citations omitted.]" (*Cook v. University of Southern California* (2024) 102 Cal.App.5th 312, 322, fn. 2.)

1. Procedural Unconscionability

Procedural unconscionability involves the components of "oppression" and "surprise." (*OTO, supra*, 8 Cal.5th at 126.) The analysis of whether there is procedural unconscionability typically begins with a determination whether the agreement is a contract of adhesion, typically a non-negotiable form agreement drafted by the party seeking to compel arbitration. (*OTO, supra*, 8 Cal.5th at 126.) Surprise for purposes of procedural unconscionability arises where the allegedly unconscionable term "is hidden within a prolix printed form." (*Pinnacle, supra*, 55 Cal.4th at 247.)

a. Contract of Adhesion; Required Agreement

Hood confirms in her declaration that employees were required to sign the Arbitration Agreement as part of their employment ongoing package. (Hood Decl. ¶ 11.) The contract appears to be a standard form contract, and there is no evidence that its terms were negotiable; it qualifies as a contract of adhesion.

The document was presented with a number of other documents that Plaintiff was required to sign as part of her onboarding package. (Munoz Decl. ¶ 7; Khakh Decl. ¶¶ 8, 11; Hood Decl. ¶¶ 10, 11.) Munoz confirms she was instructed to fill out paperwork through TalentReef. (Munoz Decl. ¶ 5.) Munoz declares she could not download the documents. (Munoz Decl. ¶ 7.) She declares she was provided with a lot of electronic documents as part of the onboarding process, and that no one explained the documents to her, or explained to her that she was waiving the right to bring class claims or to have her claims heard in a court. (Munoz Decl. ¶¶ 6-10.) Nevertheless, there is no evidence of the type of "sharp practices" the courts in other cases have found may produce an extraordinary or exceptional degree of procedural unconscionability. (*OTO, supra*, 8 Cal.5th at 129; *Baltazar v. Forever 21, Inc.* (2016) 62 Cal.4th 1237, 1245 [finding no "sharp practices," stating the employee in that case "was not lied to, placed under duress, or otherwise manipulated into signing the arbitration agreement. The adhesive nature of the employment contract requires us to be 'particularly attuned' to her claim of unconscionability [citation omitted], but we do not subject the contract to the same degree of scrutiny as '[c]ontracts of adhesion that involve surprise or other sharp practices.' [Citation omitted]."]].)

The Arbitration Agreement was not "hidden in a prolix" document as in *OTO*, in which the font was in a size the California Supreme Court found to be nearly illegible. (*OTO, supra*, 8 Cal.5th at 126, 128.) The Arbitration Agreement was a standalone document, six pages in length, with bold faced topic headings and spacing between the paragraphs, as well as an all capitalized, bold-type face and underlined warning just above the signature by which the signatory acknowledged "giving up certain

rights." (Hood Decl. Exh. A, p. 6.) The fact that no one explained the documents to Plaintiff does not support a finding of procedural unconscionability. Plaintiff's opposition cites no authority that requires an employer to unilaterally undertake to explain an arbitration agreement and its legal ramifications to an employee before the employee signs. While Munoz vaguely states she "felt" she had to sign "as soon as possible," based on what she was told (without stating what she was told) and based on "how the manager responsible for onboarding acted," she does not state that Bridges gave her any particular time limit to sign, and she does not provide any specific evidence of statements or conduct by Bridges supporting her "feeling" that she had to sign quickly. (Munoz Decl. ¶ 8.)

The adhesive nature of the Arbitration Agreement and that it was mandated by the employer establishes some degree of oppression, and a limited degree of procedural unconscionability based on the inherent economic pressure on a prospective employee to agree in order to gain employment. (*Armendariz, supra*, 24 Cal.4th at 113 [defining contract of adhesion] and 115 ["few employees are in a position to refuse a job because of an arbitration requirement"]; *Alvarez, supra*, 60 Cal.App.5th at 591 [when "arbitration is a condition of employment, there is inherently economic pressure on the employee to accept arbitration," which "alone is a fairly low level of procedural unconscionability."]; Munoz Decl. ¶ 8 [she had to sign documents so she could begin her employment].) The Court finds there is some degree of procedural unconscionability for these reasons and considers the grounds for substantive unconscionability raised by Plaintiff.

2. Substantive Unconscionability

"Substantive unconscionability examines the fairness of a contract's terms. This analysis 'ensures that contracts, particularly contracts of adhesion, do not impose terms that have been variously described as "[o]verly harsh[]" [citation omitted], "[u]nduly oppressive[]" [citation omitted], "[s]o one-sided as to 'shock the conscience' [] [citation omitted], or "unfairly one-sided" [citation omitted].) All of these formulations point to the central idea that the unconscionability doctrine is concerned not with "a simple old-fashioned bad bargain" [citation], but with terms that are 'unreasonably favorable to the more powerful party.' " [Citation, some internal quotation marks omitted.]" (*OTO, supra*, at 129-130.) In general, the arbitration agreement must be so overly harsh, unduly oppressive, and unreasonably favorable to the more powerful party that they undermine the neutrality of the agreement to arbitrate in order to be found substantively unconscionable. (*Armendariz, supra*, 24 Cal.4th at 117.)

a. Terms of Employment Agreement

Plaintiff argues that the "Terms of Employment" agreement (Khakh Exh. D) which Plaintiff signed concurrently with the Arbitration Agreement should be read together with the Arbitration Agreement. She argues that the Terms of Employment in effect creates a "carve out" from the Arbitration Agreement which allows Bridges to obtain permanent injunctive relief in Court for a violation of the Terms of Employment involving the disclosure of information defined as "confidential" under that document, making the Arbitration Agreement one-sided and nonmutual. She argues the Terms of Employment and Arbitration Agreement must be construed together to determine whether the Arbitration Agreement is unconscionable because the agreement to arbitrate lacks mutuality.

b. Construction of Agreements Together

Civil Code section 1642 and case law addressing arbitration agreements executed concurrently with

other agreements between the employee and employer require the Court to construe the Arbitration Agreement and Terms of Employment together, as the documents were executed concurrently as part of Plaintiff's commencement of her employment. (*Alberto v. Cambrian Homecare* (2023) 91 Cal.App.5th 482, 486, 490-491; *Gurganus, supra*, 115 Cal.App.5th 327, 334-335; *Silva v. Cross Country Healthcare, Inc.* (2025) 111 Cal.App.5th 1311, 1322-1323.) Civil Code section 1642 provides: "Several contracts relating to the same matters, between the same parties, and made as parts of substantially one transaction, are to be taken together." If not expressly stated, courts may infer an intent that multiple documents be read together "by looking to 'extrinsic evidence' of the circumstances enumerated in section 1642. [Citations omitted.]" (*Silva, supra*, 111 Cal.App.5th at 1322.)

The time stamps on the Arbitration Agreement and Terms of Employment indicate that the Arbitration Agreement, which has no integration clause, was signed first, followed by the Terms of Employment, with a merger clause, 13 minutes later. (Hood Decl. Exh. A; Khakh Decl. Exh. D.) As in *Alberto*, *Silva*, and *Gurganus*, the documents were signed between the same parties. There is no genuine dispute that the documents were part of the same transaction, namely part of Plaintiff's offer and acceptance of employment with Bridges, and they relate to the same matters, specifically how disputes between the parties are to be resolved. (*See Silva, supra*, 111 Cal.App.5th at 1322-1323.)

In *Alberto*, the Court of Appeal affirmed an order denying a petition to compel arbitration. The Court found that "[t]he [arbitration] agreement, read together – as it must be – with other contracts signed as part of Alberto's hiring, contained unconscionable terms." (*Alberto, supra*, 91 Cal.App.5th at 486.) In *Alberto*, the arbitration agreement and confidentiality agreement were executed the same day, and "were both separate aspects of a single primary transaction – Alberto's hiring. They both governed, ultimately, the same issue – how to resolve disputes arising between Alberto and Cambrian arising from Alberto's employment." (*Id.* at 490-491.) (*See also Gurganus, supra*, 115 Cal.App.5th at 334-335.)

Ahern v. Asset Management Consultants, Inc. (2022) 74 Cal. App. 5th 675 cited by Bridges is distinguishable for the reasons explained in *Alberto*. (*Alberto, supra*, 91 Cal.App.5th at 491 n. 2 [court in *Ahern* found "that the two separate agreements covered 'distinct and successive phases' of a real estate transaction, with nothing 'suggesting arbitration was mandatory' for disputes relating to the agreement without an arbitration clause. [Citation omitted.]".]) *Subaru of America, Inc. v. Putnam Automotive, Inc.* (2021) 60 Cal.App.5th 829 is factually inapposite. It addressed a trial court judgment confirming an arbitration award, in which the Court rejected a dealer's argument that a Satellite Service Agreement should have been construed with the Burlingame Dealer Agreement as a single contract, such that it would fall within the exemption from the FAA under the federal Motor Vehicle Franchise Contract Arbitration Fairness Act. (*Id.* at 838-842 [concluding that the two agreements were intended to be separate].) Notably, Bridges does not address *Alberto*, *Silva*, or *Gurganus* in the reply.

c. Terms of Employment and Relation to Claims Subject to Arbitration

The substantive provisions of the Terms of Employment in this case regarding the employer's right to obtain injunctive relief are similar to, and operate similarly to, those in *Alberto* and *Silva*, resulting in similar lack of mutuality substantially benefiting the employer that the Courts in those cases found was unconscionable. (*Alberto, supra*, 91 Cal.App.5th at 492-493; *Silva, supra*, 111 Cal.App.5th at 1328-1330.) The Terms of Employment includes Sections 2 (Confidential Information), 3 (Conflicting

Employment), 4 (Returning Company Documents), 5 (Notification of New Employer), 6 (Solicitation of Employees), and 7 (Other Policies). (Khakh Decl. Exh. D.) "Other Policies" in Section 7 states: "I [the employee] agree to comply with all Company policies, rules and procedures that are generally applicable to Company employees." (*Id.* [emphasis added].)

The Equitable Remedies provision (paragraph 8) states that the employee agrees it would be "impossible or inadequate" to measure damages from a breach of Sections 2 through 7, including the "Other Policies" provision, and that the employee therefore agrees "that upon breach of any of such Sections, Company will have available, in addition to any other right or remedy available, the right to obtain an injunction from a court of competent jurisdiction restraining such breach or threatened breach and to specific performance of such provision of the Terms of Employment." (Khakh Decl. Exh. D [Terms of Employment Section 8].) The Equitable Relief provision continues: "I further agree that no bond or surety shall be required in order to obtain such relief and I hereby consent to the issuance of such injunction and to any order of specific performance." (*Id.* [emphasis added].) Further, Plaintiff "expressly consent[s] to the personal jurisdiction of the state and federal courts located [in California] for any lawsuit filed there by the Company arising from or related to my employment." (Khakh Decl. Exh. D [Terms of Employment Section 9].)

The Arbitration Agreement provision for "Claims Not Covered by this Agreement" makes "claims that both Employee and Company agree are not covered by the Agreement" excluded from its scope. (Hood Decl. Exh. A [Arb. Agmt. p. 2].) Reading these documents together, the Court concludes the claims subject to the Terms of Employment are excluded from arbitration, and that the exclusion together with the other substantive terms of the Equitable Relief provision in the Terms of Employment renders the Arbitration Agreement highly substantively unconscionable.

d. Lack of Mutuality and Overly Harsh, One-Sided Advance Consent to Injunction, Specific Performance, and No Bond

As in *Alberto, Silva*, and *Gurganus*, the effect of these agreements together is that the employee is required to arbitrate almost all claims the employee may have against Bridges, with limited exceptions, while claims that Bridges is most likely to bring, including claims for violation of Company rules, procedures, and policies, are allowed to be litigated in Court. "Lack of mutuality exists when an arbitration agreement directs a wide range of claims that would typically be brought by an *employee* into arbitration, but specifically excludes from arbitration claims that would typically be brought by an *employer*, including claims related to intellectual property rights and those for equitable relief related to unfair competition or the disclosure of trade secrets or confidential information. [Citation omitted.]" (*Gurganus, supra*, 115 Cal.App.5th at 336 [italics in original].) (*See also Silva, supra*, 111 Cal.App.5th at 1328.) (*See also Ramirez, supra*, 16 Cal.5th at 498 [finding "well supported" the Court of Appeal determination that an arbitration agreement lacked mutuality where claims likely to be brought by the employer would be litigated in a court while likely employee claims would be decided in arbitration, with the lack of mutuality being "indicative of substantive unconscionability."].)

Further, even if the Court assumed " 'business realities' might justify giving an employer access to the courts to seek injunctive relief," the Equitable Relief provision broadly covers almost any claim Bridges might bring against the employee by giving Bridges the right to injunctive relief and specific performance, to which the employee consents in advance, for any violation of any Company policy,

rule or procedure, as well as violation of the confidentiality, trade secrets, and nonsolicitation provisions. (*Silva, supra*, 111 Cal.App.5th at 1328-1329; *Gurganus, supra*, 115 Cal.App.5th at 337.) The Equitable Relief provision is not limited to a temporary restraining or preliminary injunction, interim relief that might be available under Code of Civil Procedure section 1281.8, but rather on its face extends to a permanent injunction and specific performance. (Khakh Decl. Exh. D [Terms of Employment Section 8].)

Further, under the Equitable Relief provision, the employee consents in advance to an injunction or specific performance for any breach and without Bridges having to post a bond or surety. (Khakh Decl. Exh. D [Terms of Employment Section 8].) Such a provision has been held to be substantively unconscionable in *Gurganus, Silva*, and *Alberto*. (*Gurganus, supra*, 115 Cal.App.5th at 338; *Silva, supra*, 111 Cal.App.5th at 1329-1330; *Alberto, supra*, 91 Cal.App.5th at 492 ["[A]dditional provisions that waive the employer's need to obtain a bond before seeking an injunction, waive the employer's need to show irreparable harm, and require an employee to consent to an immediate injunction *are* unconscionable."].)

The Court in *Silva* concluded features of the contracts similar to those found in this case "have significant substantive unconscionability separately and together," and that such a degree of substantive unconscionability coupled with some degree of procedural unconscionability as an adhesive contract were sufficient to meet the opposing party's burden to show the Arbitration Agreement unconscionable. (*Id.* at 1330 [emphasis added, stating the Court did not need to address any other arguments for why the agreement was unconscionable].) (*See also Gurganus, supra*, 115 Cal.App.5th at 338 [finding on similar grounds based on similar terms that "the lack of mutuality is substantively unconscionable to a high degree as IGS has failed to provide a justification for such expansive carve-outs in its favor."].) Bridges has not offered any business or other justifications for the provisions, beyond what the Court may assume regarding "business realities" for protecting intellectual property or confidential information. (*Silva, supra*, 111 Cal.App.5th at 1328-1329.) (*See also Ramirez, supra*, 16 Cal.5th at 498-499 [finding an arbitration agreement excluding injunctive relief, including a permanent injunction, provided protection for the employer that went "beyond that provided by the Code of Civil Procedure provision" for preliminary injunctive relief].) As set forth above, Bridges does not address any of these decisions in its reply.

3. Conclusion as to Unconscionability and Issue of Severability

The Court finds under the foregoing authorities that there is some degree of procedural unconscionability and a high degree of substantive unconscionability of the Arbitration Agreement, construed with the Terms of Employment.

Both the Arbitration Agreement and Terms of Employment contain severability clauses. Bridges argues that if the Court finds any term unconscionable, the Court should sever the provision and enforce the remainder of the Arbitration Agreement. Bridges does not suggest, however, what provision could be severed to remedy the unconscionability found here.

Civil Code section 1670.5(a) provides the Court alternatives when it finds a contract provision to be unconscionable. "If a contractual clause is found unconscionable, the court may, in its discretion, choose to do one of the following: (1) refuse to enforce the contract; (2) sever any unconscionable clause; or (3) limit the application of any clause to avoid unconscionable results. [Citation omitted.]

The 'strong legislative and judicial preference is to sever the offending term and enforce the balance of the agreement.' [Citation omitted.] Though the 'statute appears to give a trial court some discretion as to whether to sever or restrict the unconscionable provision or whether to refuse to enforce the entire agreement,' it 'also appears to contemplate the latter course only when an agreement is "permeated" by unconscionability.' [Citation omitted.]" (*Ramirez, supra*, 16 Cal.5th at 513.)

The Court set forth the appropriate standard for determining whether severance or denial of enforcement of the agreement is appropriate. "[N]o bright-line rule *requires* a court to refuse enforcement if a contract has more than one unconscionable term. Likewise, a court is not *required* to sever or restrict an unconscionable term if an agreement has only a single such term. Instead, the appropriate inquiry is qualitative and accounts for each factor *Armendariz* identified. At the outset, a court should ask whether 'the central purpose of the contract is tainted with illegality.' [Citation omitted.] If so, the contract cannot be cured, and the court should refuse to enforce it. If that is not the case, the court should go on to ask first, whether the contract's unconscionability can be cured purely through severance or restriction of its terms, or whether reformation by augmentation is necessary. [Citation omitted.] If no 'reformation is required,' the offending provision can be severed or limited, and 'the rest of the arbitration agreement left intact,' then severance or restriction is the preferred course for provisions that are collateral to the agreement's main purpose. [Citations omitted.] If unconscionability cannot be cured by extirpating or limiting the offending provisions, but instead requires augmentation to cure the unconscionability, then the court should refuse to enforce the contract. [Citation omitted.] Courts cannot 'rewrite agreements and impose terms to which neither party has agreed.' [Citation omitted.]" (*Id.* at 516 [italics in original, underscoring added].) The Court went on to state that the fact a contract's unconscionability could be cured by severance or restriction does not mean it should be, where severance "would function to condone an illegal scheme" and if "the defects in the agreement indicate that the stronger party engaged in a systematic effort to impose arbitration on the weaker party not simply as an alternative to litigation, but to secure a forum that works to the stronger party's advantage. [Citation omitted.]" (*Id.* at 516-517.)

The Court finds that the Arbitration Agreement, taken together with the Terms of Employment, is permeated with unconscionability and that the agreements taken together reflect an attempt to impose arbitration on the employee claims while allowing the employer to pursue its claims in Court. Among other things, the provisions of the Terms of Employment allow the employer to pursue relief in court to enforce all Company policies, rules, and procedures plus the nonsolicitation and confidentiality provisions, through an advance consent by the employee for injunctive relief and specific performance in the employer's favor, without the employer having to prove damages are an inadequate remedy or post a bond or surety, while the employee's claims are relegated to arbitration. Indeed, it is not clear what claims the employer would bring against the employee that would be subject to arbitration and not encompassed by the sweeping provisions of the Terms of Employment.

The forum for resolution of disputes is the essence of an arbitration agreement; the unconscionable provisions of the Terms of Employment carve-out for employer claims goes to the essence of the dispute resolution process the parties agreed to and reflects "a systematic effort to impose arbitration on the weaker party not simply as an alternative to litigation, but to secure a forum that works to the stronger party's advantage. [Citation omitted.]" (*Id.* at 516-517.) Based on how the

agreements are drafted and structured, it is not clear how the Court could sever or restrict the provisions that the Court has found highly unconscionable here. The Courts in *Alberto, Silva*, and *Gurganus* did not sever and refused to enforce the arbitration agreements in those cases.

The Court exercises its discretion, in consideration of the factors set forth in *Ramirez*, to decline to enforce the Arbitration Agreement as unconscionable under Civil Code section 1670.5(a). The Court need not reach the confidentiality provision in the Arbitration Agreement in light of this ruling. The motion to compel arbitration is **denied** on this ground. Because the Court finds the Arbitration Agreement unconscionable and unenforceable, the Court need not reach the validity of the waiver of class claims contained in the unenforceable Arbitration Agreement.

Labor Code Section 229 and Iskanian Prohibition on Arbitration of PAGA Claims

Labor Code section 229 states in relevant part: " Actions to enforce the provisions of this article for the collection of due and unpaid wages claimed by an individual may be maintained without regard to the existence of any private agreement to arbitrate." Plaintiff argues that Labor Code section 229 applies and that even where an enforceable arbitration agreement exists, the statute makes claims for wages subject to judicial determination in court. (Opp. p. 13, ll. 15-22.)

A. The FAA Does Not Apply Based on the Record Before the Court

The notice of motion and motion cites the FAA as well as the CAA as the basis for the motion. The moving papers contain no argument or legal authority that the FAA applies. The Arbitration Agreement does not have any reference to the FAA. Bridges argues for the first time in its reply that the FAA applies to the Arbitration Agreement.

Bridges quotes FAA section 2 stating that the FAA applies to an arbitration agreement "evidencing a transaction involving commerce." (Reply p. 10, ll. 10-11.) But Bridges fails to address the definition of "commerce" as used in the FAA set forth in section 1: " '[C]ommerce', as herein defined, means commerce among the several States or with foreign nations, or in any Territory of the United States or in the District of Columbia, or between any such Territory and another, or between any such Territory and any State or foreign nation, or between the District of Columbia and any State or Territory or foreign nation." (9 U.S.C. § 1 [emphasis added].) (See also *Citizens Bank v. Alafabco, Inc.* (2003) 539 U.S. 52, 56.)

As Bridges recognizes in the reply, the FAA "extend[s] to the full reach of Congress's Commerce Clause power" which is the regulation of interstate commerce, not purely intrastate commerce. Absent either a provision in the Arbitration Agreement that the FAA applies or an evidentiary showing demonstrating that the business of the golf club and resort is involved in interstate commerce, the FAA does not apply. (See *Rodriguez v. American Technologies, Inc.* (2006) 136 Cal. App. 4th 1110, 1116, 1122 [parties may contractually agree that the FAA will govern the arbitration]; *Allied-Bruce Terminix Cos., Inc. v. Dobson* (1995) 513 U.S. 265, 273-274 [broadly construing "involving interstate commerce" to mean "affecting" interstate commerce, and holding the FAA governed an arbitration agreement between a homeowner and local pest control company where the treatment products and repair materials were shipped from out of state]; *Citizens Bank, supra*, 539 U.S. at 55-58 [holding FAA applied to debt restructuring agreements even though the individual transactions in that case may not have actually been in interstate commerce based on evidence that (1) Alafabco engaged in

business throughout the southeastern United States, including "to finance large construction projects in North Carolina, Tennessee, and Alabama" using substantial loans from the bank that were part of the restructuring agreements; (2) the restructured debt was secured by Alafabco's business assets which included goods assembled from out-of-state parts and raw materials; and (3) consideration of the general practice involved, including "the broad impact of commercial lending on the national economy" and that Congress has the "power to regulate that activity pursuant to the Commerce Clause".)

Bridges argues that the FAA applies because the Arbitration Agreement "concerns an employment relationship for a commercial enterprise." (Reply p. 10, ll. 21-22.) The fact Bridges operates a resort and golf club in California, the only evidence before the Court regarding the Bridges' business (Hood Decl. ¶¶ 2, 4; Durieux Decl. ¶ 2), is not evidence that its business is involved in interstate commerce under the United States Supreme Court authority and the provisions of sections 1 and 2 of the FAA.

B. Because the FAA Does Not Apply, Labor Code Section 229 Is Not Preempted

Because the FAA does not apply based on the terms of the Arbitration Agreement and lack of evidence that defendant's business is involved in interstate commerce, Labor Code section 229 is not pre-empted and bars the Court from compelling arbitration of her Labor Code wage claims. (*Garrido v. Air Liquide Industrial U.S. LP* (2015) 241 Cal.App.4th 833, 844-845 ["The FAA preempts Labor Code section 229, requiring enforcement of an arbitration agreement covering such a claim. [Citations omitted.]"]; *Perry v. Thomas* (1987) 482 U.S. 483, 491-492 [FAA pre-empts Labor Code section 229].)

This "article" in Labor Code section 229 refers to claims for collection of unpaid wages under Labor Code sections 200-244. Plaintiff's fifth, seventh, and tenth causes of action clearly fall within the scope of Labor Code section 229 and are not arbitrable on this additional ground. Those causes of action seek collection of unpaid wages based on Labor Code statutes within the article covering Labor Code sections 200-244. Bridges in its reply does not address Labor Code section 229 or its impact on the claims alleged in the FAC, relying instead on the FAA pre-emption. Because the Court has concluded the FAA does not apply, Labor Code section 229 is not preempted. On this additional ground, the fifth, seventh, and tenth causes of action are exempted from arbitration under Labor Code section 229, and the motion to compel arbitration of those claims is **denied**. (*See also Lane v. Francis Capital Mgmt. LLC* (2014) 224 Cal. App. 4th 676, 684.)

C. Because the FAA Does Not Apply, the *Iskanian* Rule Precluding Arbitration of PAGA Claims Applies

The California Supreme Court's decision in *Iskanian v. CLS Transportation Los Angeles, LLC* (2014) 59 Cal.4th 348 is binding authority on this Court. The United States Supreme Court's decision in *Viking River Cruises, Inc. v. Moriano* (2022) 596 U.S. 639, 646 holds that "the FAA preempts the rule of *Iskanian* insofar as it precludes division of PAGA actions into individual and non-individual claims through an agreement to arbitrate." (*Id.* at 662-663.) The California Supreme Court in *v. Uber Technologies, Inc.* (2023) 14 Cal.5th 1104 confirms the limits of the Viking River holding: "*Viking River* requires enforcement of agreements to arbitrate a PAGA plaintiff's individual claims if the agreement is covered by the FAA." (*Id.* at 1119 [emphasis added].)

In cases where the FAA does not apply, California law applies, and there is no FAA preemption. (*See,*

e.g., Garrido, supra, 241 Cal.App.4th 833, 844-845; .) The *Iskanian* rule against dividing a PAGA action into individual and non-individual claims and which precludes a Court from ordering PAGA claims to arbitration in part because PAGA claims, even if based on violations of the Labor Code as to only one aggrieved employee, is a representative action on behalf of the state therefore applies. (*Villalobos v. Maersk, Inc.* (2025) 114 Cal. App. 5th 1170, 1196-1200 ["In short, California law applies, without regard to the preemption ruling in *Viking River*, so the 'rule of *Iskanian*'—that 'precludes division of PAGA actions into individual and non-individual claims through an agreement to arbitrate' [citation omitted]—does apply. In addition, under California law, the principle applied in the *Correia* line of cases—that 'an employee's predispute agreement to arbitrate PAGA claims is not enforceable without the state's consent' [citation omitted]—has not been overruled." (*Id.* at 1199.)

On this additional ground, the motion to compel arbitration of the twelfth cause of action, the PAGA cause of action for civil penalties, is denied.

17. 9:00 AM CASE NUMBER: C25-02308
CASE NAME: THE PEOPLE OF THE STATE OF CALIFORNIA, VS. ACME FILL CORP.,
***HEARING ON MOTION IN RE: STRIKE PORTIONS OF 1ST AMENDED COMPLAINT**
FILED BY: ACME FILL CORP.,
TENTATIVE RULING:

Before the Court is a motion to strike ("Motion") filed by defendant Acme Fill Corp. ("Defendant"), which seeks to strike paragraphs 45 through 50 and 80 through 84, of the first amended complaint ("Complaint") filed by plaintiff The People of the State of California by and through the Bay Area Air Quality Management District ("Plaintiff").

For the reasons set forth below, the Court's tentative ruling is to DENY Defendant's motion to strike.

Meet and Confer

The meet and confer requirement has been satisfied. (Thomas Bruen Decl., ¶ 2; Code Civ. Proc., § 435.5, subd. (a)(3)(A).)

Requests for Judicial Notice

RJN ISO Motion

Defendant requests the Court to take judicial notice of the California Landfill Methane Rule ("LMR") found at California Code of Regulations, sections 95460 through 95476 and Appendix I, via Evidence Code section 452, subdivisions (b), (c), and (h). Plaintiff has not objected to this request. Defendant's request for judicial notice is granted.

RJN ISO Opposition

Plaintiff requests the Court to take judicial notice of six California Air Resource Board ("CARB") documents. (RJN ISO Opposition, ¶¶ 1-6, Exhs. A – F; Baptiste Decl., ¶¶ 1-10, Exhs. A – F.) These